BBI POWER KRISHNAPATNAM COMPANY



2020

520 MW THERMAL POWER PROJECT

INTRODUCTION

BBI POWER Krishnapatnam company (BBI POWER INC) a British Virgin Islands corporation, is currently developing a 520 MW coal fired thermal power generation facility in Andhra Pradesh, India. ("The Project") The plant will be situated on the East cost of India, on the Bay of Bengal, outside the village of Krishnapatnam. As part of the team assembled by BBI Power.

BBI Power was a selected to develop the project after (ICB) international competitive bidding process which culminated in the signing of a letter of Intent ("LOI") with the Andhra Pradesh State Electricity Board ("APSEB") in July 1996. The Company has signed a Initial Power Purchase Agreement with the APSEB in July 1999 - 2000, wherein, the APSEB has agreed to purchase, all the Power generated by the project for a period of 30 years.

PROJECT OVER VIEW AND SPONSORS.

BBI POWER, LP is a Besicorp Group Inc. ("Besicorp"), based in Kingston, New York, a public Company traded on the American Stock Exchange was founded in 1976 and is a developer and owner of Independent Power Projects, whose strategy is to provide specialized in development and financial expertise in early stage, development of large-scale projects, and an International Shipping Company with substantial experience in foreign trade, barter and counter trade, is the managing agent for a fleet of large oil tankers and bulk carriers associated with the Krishnapatnam Project.

HISTORY OF THE PROJECT DEVELOPMENT

BBI Power Krishnapatnam Company, India is located 15 miles from the town of Nellore in the State of Andhra Pradesh. A 1020 MW coal fired thermal based power project at Krishnapatnam Company was initially conceived by the APSEB in 1990. The project originally included an integrated port facility to receive fuel for the plant. When the Indian Government's Privatization program went in to effect in 1991. The project was offered to International Independent Power Developers on a negotiated basis.

In early 1993, The "APSEB" was encouraged by the World Bank to Submit an International Invitation to bid for the Project. At that time more than twenty International Companies submitted their proposals for the project under a two part scheme. Part A of the proposal requested information on the development companies and their financial capabilities. The prospective bidders were shortlisted to from qualified companies under Part A, and BBI

Power was one of the twelve companies to be short-listed. BBI Power assembled a bidding to respond to Part B.

In December 1993, Part B was submitted. Part B included specific technical and financial information on the project. On the basis of the Part B responses, the twelve companies were further narrowed to four. The APSEB contacted with the International Credit and Investment Corporation of India Ltd to perform an independent analysis on the short-listed bidders. At this time, (IFC) the International Financial Corporation made a recommendation to the APSEB to split the project into two separate 520 MWs facilities awarded to each facility to an independent developer. The Port facility was at this point changed to a coal unloading jetty for each facility, to simplify the projects and reduce total cost.

The PPA now has been amended to respect BBI Power's concerns to the ability to finance the project. This amended and restated power purchase agreement (PPA) has signed on 9th July 1999.(Thirty years power purchase agreement from the date of Power generation and variable price PPA)

PROJECT COST OVER VIEW

Cost of FGD Plant shall not be included in capital cost and the same shall be absorbed by the company. If the FGD Plant is required due to changes in Indian Law as per the TEC clause 2(i)(d), cost of FDG Plant shall be included in the capital cost.

Company shall absorb any additional cost because of change in fuel specification / sourcing of coal, in future. If additional costs raised due to changes in Indian Law as per the TEC clause 2(i)(d), cost of FDG Plant shall be included in the capital cost.

Estimated completed capital cost means the aggregate $ 355.131 Million Plus 960.614 millions at an exchange rate of Rs.35.50/- per US $ (includes customs duty at foreign exchange rate of Rs.35.50 Rupees to 1 US $).

COST OF LAND

At the time of entering Agreement in 1999 to 2000 with GOAP &APSEB Land extent of 832 Acres was allocated by GOAP and a letter to that affect was issued. A copy shall be submitted.

At that time the Company could not honor the payment towards the land cost. Now the present scenario towards land procurement by the Company is as follows.

Cost of land per acre Rs.20 Lakhs (Approx).

Total cost of 832 acres of land is Rs. 166.50 Crores in Approx

Registration charges =Rs. 10 Crores @6%

Incidental charges towards procedures shall be extra levels.

Civil works.Rs.150 crores

BACKGROUND OF ANDHRA PRADESH

General Description:

The state covers an area of 6, 00,000 sq meters and had an population at last estimates (2010) of approximately 120 million. Literacy in the state is a relatively high 75% bordered by the sea of Bengal to the East, Andhra Pradesh has a moderate climate and rich foliage over much of its area.

Andhra Pradesh has made significant progress in all fields since the conception. The construction of Large Multipurpose projects such as Nagarjuna Sagar Project, Vamsidhara Project, Somasila Project and Yeluru Reservoir etc has provided Irrigation and Power generation to the state. In addition, there are many irrigation projects, which are currently under implementation within the state adding up to 2, 00,000 hectares of irrigated land per year. As of 2010, 200% of the villages within the state were electrified.

The growth of power sector in Andhra Pradesh has accompanied the economic growth experience by the state. The stage government has decided to extend power connections to two hundred thousand agricultural pump sets every year. Projects such as the Sriram Sagar Project and Srisailam Right Branch Canal have secured World Bank Assistance of $ 270 Million.

Project Capacity Growth

A report by the APSEB forecast annual energy requirements of 1, 80,500 GWH and a peak load of 45,925 MW per hour by the year 2010-11. This represent an increase approximately 800% in an energy requirement compared with the 2000-01 levels of 60,500 GWH and an increase of 800% in peak load relative of 2000-01 peak load of 10,200 MW. In the last few decades Andhra Pradesh has experienced major deficits in available capacity. This is the why GOI has resolved to mobilize the additional resources to help bridge the gap in supply by encouraging greater private investment in the electricity sector.

BBI POWER KRISHNPATNAM COMPANY – NOTE

The Krishnapatnam 'B' Thermal Power Station site is located on the Coast of Bay of Bengal, approximately 26 KM South – East of Nellore Town in Andhra Pradesh. The land area is bound by the Bay of Bengal on the East, the Buckingham Canal on the West, a creek on the South and borders with Krishnapatnam 'A' Power Station on the North.

The Project was awarded to BBI through International Competitive Bidding and the first **Power Purchase Agreement was signed in 9th July 1999.** After a series of negotiations and discussions at various levels with the Government of India / Department of Power, Government of Andhra Pradesh APSEB and Andhra Pradesh TRANSCO, and the **Power Purchase agreement was signed on the 9th July 1999.**

The total land required was acquired by the Government of Andhra Pradesh as per G.O. Ms. No. 53 Dt. 23-01-1993. The land was under the possession of the erstwhile APSEB. The GOAP has not developed the Krishnapatnam site in respect of construction facilities intention of GOAP being that the Project developer has to take up all the development activities as required by the designs.

Lands to the extent of 831.50 Acres were earmarked for the BBI Project Land survey was got conducted by the BBI Power Krishnapatnam Company and the areas for power plant, ash pond, jetty location and switchyard have been identified and kept ready. Unfortunately, the American Promoter has not paid even a token amount towards cost of the lands.

However, on 5 July 2007. A letter was sent to AP Transco, the successor to APSEB, stating that we would like to assume the lands for the Project consistent with the terms of the **PPA dated 9th July 1999** or such other terms as we may mutually agree. We did not receive any reply to this letter.

At no time GOAP or APSEB or AP Transco considered our valuable points for making this Project viable and to our utter dismay unilaterally allotted the earmarked lands to some other Company.

We are making efforts to establish the Project and we have already expended sizable amounts of money for obtaining all the clearances and permits required for the Project which are site specific. We also got site survey conducted and plan of the power equipment etc. has been marked on the site plans. We obtained the high-tide line marked by the National Institute of Oceanography, Goa. **We built a causeway across the Buckingham Canal and approach road to the Project site which facility is being used by the APSRTC to run buses to Pattapu Palem, a fishermen village at the South- East corner of the Project site, bounded by the sea on one side and a salt creek flowing into the sea on the other side.**

A bridge across the Buckingham Canal is required to be built for access to the Project site. Approval of the Central Designs Organization of the Irrigation Department was obtained vide their Letter No. CE/CDO/CI/DEEI/03/30-11-1999.

Having developed lands, roads, causeway, permission for bridge, completed site survey, soil testing, bathymetry, obtaining CRZ clearance, approval for intake and outfall for cooling water etc. we are ready to go ahead with developing the Project. The clearances etc. are all site and Project specific.

This Project was cleared by the Department of Power, Ministry of Energy, and Government of India for use of imported coal for the life f the plant. There is a clause in the Techno-economic Clearance issued by the CEA on the 16th June 1998 stipulating that "delivered cost of coal shall not be higher than the indigenous coal cost throughout the period of agreement on heat content basis." The coal will be transported on self-discharging carriers fitted with high speed cranes and clamshell grabs. Coal will be discharged to barges for transfer to a dedicated finger jetty at the Project site. Cost of the jetty is parts of the Project cost approved by the CEA as per Techno-economic Clearance vide Lr. No. 6498/Pr 1 – 1 / 96 Dt. 8 – 11 – 2000. Now that the Krishnapatnam Port is in operation, jetty for bringing in coal to the Project will not be required and an arrangement with the Port Authorities is to be made. Source of the cooling water will be sea water and a cooling tower will be built. The sweet water requirements for the Project will be met by desalinating the sea water. Cost of the desalinating plant is included in the Project cost as approved in the TEC.

The Project is designed to international standards and Indian Standards and rules.

The Project will pump power into the 400 KV system of the AP Transco which in turn is connected to the National Grid.

The CEA accorded TEC in the month of June 1998 for total Project cost of $355.131 million + Rs. 960.614 Crores, including IDC and Financing Costs. At the time of issue of TEC 1 USD = Rs. 35.5 and the total Project cost worked out to Rs. 2,221.221 Crores. At the present exchange rate of 1USD = Rs. 47 the Project cost would be Rs.1, 615. 846 Crores + Rs. 960.614 Crores = Rs. 2,576.46 Crores which works out to Rs. 4.9547 Crores / MW. The TEC clearly stated that the completed cost shall not exceed except on account of a) variation in the Foreign Exchange rate of the US Dollar, b) IDC and financing charges as per actuals but not exceeding the amount as detailed in the Annexure – I to the TEC, unless otherwise revised by CEA, while according concurrence under Section 31 of E(S), 1948 after review of the financial package.

BBI Power is diligently continuing pursuit of financing of the Project both through the Indian and Foreign Institutions. Though we requested the GOAP and APSEB many a time they never considered our proposals for technical and financial comforts from them.

We requested for escrow cover prior to commercial operation. Even though it is not important in today's scenario, it is still required to be put in place for the comfort of lenders. This is one of the many key issues which were not considered and addressed properly by the GOAP and AP Transco to make this Project cost competitive and viable.

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CONCLUSIONS:

Many engineer days and financial experts and legal experts were spent in obtaining clearances and permits in answering questions raised by several authorities. Unforeseen and unavoidable expenses had to be met in obtaining and upkeep of the clearances and in keeping the clearances live. All this work, if quantified into Rupees will run into several Crores.

BBI POWER KRISHNAPATNAM COMPANY

ACTIVITIES TAKEN UP DURING THE PERIOD 1998 TO 2004

Date	Activity
26-07-1998	Mr. Paul met Mr. A.R. Raju, MD/ NCC regarding forming a Joint Venture.
22-07-1998 & 23-07-1998	Mr. Paul met CEA Officers.
16-02-2000	Supreme Court of India- Civil Appeal No. 1140-1143 of 2000 "… According to these agreements the Company and MPEB have to cooperate and assist each other in establishing a practicable and appropriate Escrow Account mutually acceptable to the parties as a satisfactory security mechanism for the payment obligations of MPEB. Escrow Agreement should be executed before Financial Close and Commercial Operation Date.
20-02-2002	Met ED/IPC/Transco and discussed about our Project. He said that we have to approach APSERC to get tariff approval. APSERC said that we must have Financial Close and then calculate the tariff and then only to approach the regulatory Commission for tariff approval.
20-06-2002	Meeting in the CEA with 19 IPPs to review status of Thermal Projects.
07-01-2003	Agreement between SE/Irrigation and BBI signed to build the bridge across the Buckingham Canal through TPL a deposit was made. A water bound Macadam road was built from the East side of the bridge to the Pattapupalem Fishermen Village along the boundary of the lands allotted to our Project. The road is in our lands.
11-06-2003	13-06-2003 The cause-way across the Buckingham Canal built by us got partially damaged due to heavy rains in that area. We got the necessary repairs carried out.
19-06-2003	Met Member (P)/ CEA and M (TH) /CEA and requested them to use their good offices to convince NTPC to form JV with BBI. They said they will certainly try their best.
07/2003 24-07-2003	Corresponded with Tata's. Their Senior officers visited our office also but on they said that they will revert back on the subject only if they get some distributions in Andhra Pradesh.
08/2003	Corresponded with IFFCO for JV. After protracted correspondence they said that they are not interested at present.
04-11-2003	The Principal Secretary/ Energy/GOAP called me for a meeting. He asked me to explain the Project. I narrated how the Project came into bring and we need the escrow-cover to move forward.
16-10-2003	Letter to CMD/Transco to assist us to achieve early financial closure.

05-03-2004	Met Member (Projects)/CEA. Briefed him on how GOAP, AP Transco, IDBI and some IPPs entered into an MOA at the behalf of GOAP. Based on this MOA, IDBI released funds for the projects. We also requested for similar arrangements but, somehow, neither GOAP nor AP Transco helped us.
04-04-2004	Discussed with Andhra Bank. They said that they would be interested in funding the Project but desired a meeting with our finance wing.
17-04-2004	Met IL & FS. They were interested in participating in the Project.
19-04-2004	Discussed with PFC. They were not happy with the site and bluntly said that they will not fund the project.
16-04-2004	Discussed with IDBI, Mumbai. They reacted positively and advised me to talk to IL&FS or KPMG or some other finance consultants, as the Project is one that requires huge size of investment.
23-04-2004	Head-Syndication, IDBI, Mumbai called to inform me that they will conduct due diligence and then arrange for syndication of loan. They said that they would study the papers submitted by me personally to Mr. Aloke Sengupta and Mr. M.L. Mitra. He also confirmed that all the points communicated by me to those officers would be kept in view. Corresponded with Canara Bank, Bangalore, regarding the debt portion of the Project Cost.
07-07-2004	Requested Transco to assign our project to the concerned Discoms.
16-04-200	Principal Secretary Energy took a meeting regarding lands. He clarified in the meeting that the already executed PPA will be assigned to the Discoms as per load demand in the different Discoms.
19-04-2005	23-4-2005 Repairs to causeway carried out because the causeway built by us got damaged due to heavy rains.
28-04-2007	CMD/AP Transco. Requested Transco to indicate the cost of lands to be paid by us to enable us to pay and take over the lands.

CONTINUATION DETAILS OF BBI INFORMATION IN THE YEAR 2007 TO TILL YEAR 2015.

•04.09.2007 Again remainder we will give to letter to CMD/ AP Transco requested Transco to indicate the cost of lands to be paid by us to enable us to pay and take over the lands immediately.

•21.11.2007 Last two months after the above intimation the successive progress has not been received by us, despite our oral and personal contacts regularly personally all the concerned persons in the AP Transco.

•06.03.2008 Feeling the delay under in processes by AP Transco been asked AP Transco the company has officially issued a letter to AP Transco wherein the seriousness is expressed and the details of the land has been asked at the earliest and the company is prepared to meet the cost of the lands. Then we have been asked by AP Transco to meet after a couple of weeks assuming us that all the details would be ready by that time.

27.03.2008 Accordingly a meeting was held on with all the concerned officials of AP Transco/AP Genco. The principal Secretaries also participated in the interaction. After due deliberations we have been asked to meet the then Hon'ble Chief Minister Sri. Y.S. Rajasekar Reddy in his office. This Information was conveyed to the our Management And Sri PAUL B PRAGAR of USA.

2008 the GOVT wanted to allot acres 2200 land which includes BBI lands 832 acres to RELIANCE Company.

2008 Meanwhile the RELIANCE Company itself is rejected, because already the GOAP allotted through ICB system to BBI Company. *In the year 2009-10 the same lands allotted to some other company.*

The BBI has written time and again in the year 2007, 2008 and 2009 to AP Transco. No reply from AP Transco till today.

09.08.2008 To negotiate finally with regard to cost of the lands, details and other associated factors related, delegation including SRI D.HOLLIDAY and Sri PAUL B PRAGAR from USA came to INDIA and here stayed for 30 days time, meeting all the top personalities for the power project.

19.08.2008 Hon'ble Chief Minister Sri Y.S. Rajasekar Reddy conveyed all of us to meet him on 19.08.2008.

Again all the details were discussed at length and Hon'ble Chief Minister has due deliberations and enquired in depth and took the stock of the situation. It went on For more than couple of hours. Again the meeting was fixed after a week that is 4th Sep 2008. So again the total process was reviewed with all the officials and Hon'ble Chief Minister because of his co-operation gave all the acceptances for the lands from the Government side, subsequently we both the parties came to an understanding about the monetary benefits can which lengthy discussion took place with the top man and mutually agreed to clear off and meet in three spells. One Spell was meeting at that time immediately. After having fulfilled the first spell of meeting, as per the --------- in the month of 10th Dec 2008. The USA people flow to INDIA and ----- the second Spell.

To meet final obligation of fulfilling the third Spell GOVT and concerned officials delayed the process expressing same inacceptable reasons, for the undue delay, the reasons which cannot be written on paper. Though the USA people have come to INDIA to finalize the Third Spell spending lot of money and time have returned back with lot of dismay and unpleasantness

•02.10.2009 To the Destroy of all the unprecedented plane crash happened and Hon'ble Chief Minister Dr. Y.S Rajasekar Reddy left for abode.

•Due to the unpcendenteal death of Dr. Y. S. Rajasekar Reddy the Govt function came to a standstill. As it was a bitter blow to Govt of India, it is a well known Fact how the thing should be organized to rest ream the ruling Govt in AP and restart the Administration more than 6 months took to normalize the Govt administration, as one Chief Minister was appointed for short time who is Sri. Rosaiah and subsequently Sri N. Kiran Kumar Reddy again further delaying the functioning's of departments of Government.

•2009 During Sri Rosaiah Chief Minister, we also to meet him personally and presented all the documents regarding the power project on 24th Dec 2009.

•14.04.2010 Again we met Sri Rosaiah Hon'ble chief Minister Govt Of AP, bringing back to his presence about the project and a fresh letter with all the documents were submitted for consideration .

•**THE GO WHICH WAS ISSUED BY GOVT OF AP WAS ALSO GIVEN TO SRI ROSAIAH, HON'BLE CHIEF MINISTER AP TO TAKE APPROPRITE ACTION AND DO US FAFOUR**.

•After having taken all the factors into consideration and reviewing all the episodes Happened all the years the USA promoters have got disheartened and come to a decision to dispose of the project and sold out in the year 2010.

• From Then on the new promoters have taken over the Company after fulfilling Schedule norms as per the Company law, under the stewardship of **Sri Kassetty. Subramanyam as managing Director.**

•Restating the programme from step one the new management after compete review, verification, conformation and preparation of new appeals, documents and so on approached the new Govt of AP.

•The First appeal was submitted on 06.04.2013 To Hon'ble Chief Minister Sri. N. Kiran Kumar Reddy.

•Due Discussions meetings with all the concerned officials are continuously going on. The Second Appeal with more information was submitted on 06.02.2014, to Hon'ble Chief Minister Sri. N. Kiran Kumar Reddy.

Hon'ble Chief Minister Sri. N. Kiran Kumar Reddy, after satisfying himself with the documents he has sought the internal opinion legally to the Minister of Laws on 08.02.2014.

The legal opinion by Minister of Laws was given on 10.02.2014 vide letter No.DD LR No.012/M (L&C)/10.02.2014.

Again we meet Hon'ble Chief Minister Sri. N. Kiran Kumar Reddy, Govt of AP, on 12.03.2104 and a copy of the legal opinion was given to us.

Subsequently General Election were declared and organized till the month of May 2014.

The New GOVT was formed in Andhra Pradesh in the month of June 2014.

On 07.07.2014 we meet Mr. N. Chandra Babu Naidu, Hon'ble chief Minister Of AP, personally and all the relevant documents, abstracts, GO's were submitted.

Again on 25th August 2014 personally took the and explained the status of the project and on the same day letters of appeals were given to Chief Minister as well as Principal Secretary of Industries, Govt Of AP.

Note. The Highest advantage for our Company to be stated is that Project was allocated during Sri. N. Chandra Babu Naidu time in the year 1996 under ICB and again the same project for implementation is with him now. So by all said and done the Present Chief Minister is in our favor.

LICENCES:

- ALL LICENCES ARE ACTIVE.
- POLLUCTION AND ENVIRONMENTAL CLEARENCES ARE DUE FOR RENWAL BECAUSE LAND AQUISIATION IS TO BE COMPLETED. AFTER PROCURING THE LAND FROM AP GOVT THEN WE WILL GO FOR RENWAL PROCESS IS UNDER NORMAL PROCESS CAN BE DONE.
- POWER PURCHASE AGREEMENT IS ACTIVE, THERE IS NO TIME BOUND IN OUR PPA AND ALSO OUR PPA IS FLEXBLE RATES PPA.
- Thanking you
- Yours Sincerely,

M/S BBI POWER KRISHNAPATNAM COMPANY

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